

9.4

Employee Benefit Expenses

In this section, we will look at Employee Benefit Expenses.

We can break down Employee Benefit Expenses into two parts-

1. Paid Yearly/ Total Employee Benefit

These are expenses paid yearly for the employee's service. For e.g. salary.



2. Accruals/ Total Employee Benefit

Expenses related to employees which are not paid yearly but one-time or in lumpy manner are Accruals. E.g. Contribution to gratuity, ESOPs related expenses, etc.



How and why is GPM higher/lower than Competitors						
Employee Benefit Expenses						
Paid Yearly/ Total employee benefit	95%	94%	94%	94%	93%	93%
Accruals/ Total employee benefit	5%	6%	6%	6%	7%	7%
Try calculating number of employees and avg.						

As seen, the company pays more than 90 percent every year as yearly employee benefits. Thus, we can say that the company is not accumulating large liabilities on its part related to employees.

If a company has a large part of the Accruals/ Total Employee Benefit, they have to pay it in the future. This adds to the company's liabilities. Thus, we must evaluate whether the company is saving enough resources to pay for the liabilities. This might become a problem in the future if such liabilities are high and the company is not saving for the same.

